Registration number 5102915

Bradford City Football Club Limited

Financial statements

for the year ended 30 June 2021

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Bradford City Football Club Limited

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Bradford City Football Club Limited

Directors and other information

Directors	S A Rupp (Chairman) A K Biggin FCA
Secretary	A K Biggin FCA
Company number	5102915
Registered office	Utilita Energy Stadium Valley Parade Bradford BD8 7DY
Business address	Utilita Energy Stadium Valley Parade Bradford BD8 7DY
Bankers	Barclays Bank PLC Leicester LE87 2BB

Bradford City Football Club Limited

Directors Report

The directors present their report and the unaudited financial statements of the company for the year ended 30 June 2021.

Directors
The directors who served the company during the year were as follows:

Stefan Albert Rupp
Alan Keith Biggin FCA

Small company provisions
This report has been prepared in accordance with the provisions applicable to companies entitled to the small companies exemption.

REVIEW OF BUSINESS

During the year under review the club has finished the season in a disappointing position of 15th place in League Division 2, the third tier of the English Football League.

As with all clubs, this season has been severely affected by the Coronavirus Pandemic, following on from the previous year (2019/20) when the League 2 competition was abandoned by the formal agreement of all clubs on 9th June 2020.

With regards to other competitions, the club safely negotiated the first round of the FA Cup at Tonbridge 7-0 but unfortunately exited at home in a 2-1 defeat to Oldham on the 25th November 2020.

Similarly in the EFL (Carabao) Cup the club had outstanding success in the first round at Bolton Wanderers winning 2-1 but unfortunately met their nemesis at home to Lincoln City on the 15th September 2020 losing 5-0.

With reference to the EFL Trophy we did not qualify through the group competition and were consequently eliminated.

The number of senior players registered were fairly consistent for the division and 26 professional players were utilised during the season (including 2 loan players).

As referred to above, the seasons curtailment and the largely prohibited attendance of supporters at all matches obviously had a major effect on gate receipts and match day income, season ticket sales and all commercial activities as can be seen in the outcomes included and elaborated on, in this report. There were however some levels of income generated from "I Follow" which mitigated the position to some degree.

In consequence of the above the club, has generated a significant fiscal loss of (£845,487) (2020 surplus £1,161,062) and has reduced net assets of £32,172 in 2020 to a net deficiency of (£813,315) at 30th June 2021. These results demand further comment and will be referred to elsewhere and at some length.

PRINCIPLE RISKS AND UNCERTAINTIES

As with all businesses there are risks and uncertainties but with football there are unique considerations of the *sometimes* conflicting interests of owners, supporters and players. All these can be handled successfully to the benefit of all parties but it does require a careful and considered strategy.

Where appropriate there are processes in place to monitor and mitigate, covering such areas as, competitive tendering, marketing and key personnel retention.

These are to provide assurance to the Board of Directors, in managing risk whilst achieving the business objective. No system is without risk and occasionally it is unavoidable but it must be evaluated.

It is perceived that the key risks are as briefly outlined here:

On Pitch performance

As a truism, the better the club performs and the more successful it becomes the nature of the risk changes. Promotion would incur significant extra costs and additional key personnel but subject to management controls, the extra income will/should more than compensate. Conversely should the club be relegated to the National League costs would increase, disproportionately to income and that risk would also require managing. These are "core" risks.

Financial Instability

The club has a policy of operating with budget (base) deficits which assume automatic elimination from all cup competitions and therefore no income is assumed, no player disinvestment considered and attendances are based on historic commercial performances (subject to review). This basis then produces conservative outflows to provide management decisions governing issues such as player acquisitions, costs and transfer fees. It is generally accepted that actual figures tend to outperform base budgets. Surpluses are reinvested within the club.

Inadequate Safeguarding and Health and Safety

The club operates, as would be expected, a strong Safeguarding and Health and Safety Programme and has key employees dedicated to full time roles in these areas. All issues raised are reviewed monthly, along with monitoring controls governing these notifications. All directors and key personnel have completed mandatory safeguarding training demanded by EFL. It is the club's all encompassing philosophy that the Valley Parade environment is safe, open and welcoming for all supporters and visitors to the ground.

Salary Management Cost Protocol (SMCP)

Under English Football League rules the club is bound by the formalities of this covenant to organise its affairs in a financially sound and professional manner to ensure that management controls are effective. For league two teams this requires, clubs to control their player wages and salary costs at a pre-determined level in relation to turnover (as defined). This is currently at a level of 55% and as a club we comply with this determination as part of our overarching policy of good prudent management.

RESULTS

The club income statement is set out on page 3

The significant figures here as follows;

(a) Gross profitability has declined from £2,187,406 in 2020 to £68,425 in 2021. This is analysed over the relevant income streams.

	2021	2020
	£	£
Football Income	(186,704)	1,455,093
Shop Franchise Income	105,875	145,252
Bar Sales and Catering	(72,293)	151,378
Commercial Sales Income	245,530	390,461
Youth Income	(25,837)	39,421
Donations	1,854	5,801
Total Gross Profit before overheads	68,425	2,187,406

(b) Net transfer income of £489,962 has been generated in this current year and is included in football income.

(c) Net profit of £1,161,062 in 2020 has almost diametrically decreased to a net trading loss of £(845,487) in the year under review.

(d) Net assets have decreased from £32,172 in 2020 to an adverse deficiency of £(813,315) in 2021.

(e) Other creditors have increased from £786,880 to £1,748,830 largely as a result of Income received for season ticket sales and commercial activities which refers to the 2021/2022 season and is correctly deferred. In the previous year affairs were significantly delayed by the uncertainties connected to the government "lockdown" and consequently there were no comparable receipts at the year end of 30th June 2020.

(f) Average attendances have decreased from 14,138 in 2020 to NIL in 2021 as a consequence of Government policy directly attributable to the pandemic.

The main factors for the significant change to the accounting loss in the current year were

(i) In the previous year there had been transfer monies received, significantly as a result of the "sell on" entitlement resulting from the Oliver McBurnie transfer fee, included in total fees amounting to £2.6 million. For the current year, as described above net transfer income is less than £500,000.

(ii) As a result of the pandemic no crowds were allowed to attend football matches as part of the UK Government's response to the global infection. Consequently greatly reduced monies were received from this income stream although "I Follow" did provide some quite significant contribution at £529,156.

(iii) The club took advantage of the UK Government Furlough Scheme and received Grant and Furlough income of £368,658 within these accounts.

THE FUTURE PERSPECTIVE

Football

Without fear of contradiction the raison d'ètre of our organisation is to play football as successfully as we can within the financial constraints that exist in every commercial operation. These constraints can and do vary and where this is positive, then opportunity is provided to manage more successfully. We will take every break to maximise and improve the position of the club from its present mid table League 2 position. It is the objective of the Board to build a squad of players and develop infrastructure. This will provide a platform from which the club can successfully move forward, year on year, fully utilising academy and development systems as appropriate. The ultimate intent being to provide the City of Bradford and the club's supporters with an enterprise of which they can be proud and an asset which would be a fulcrum of Community Involvement.

Fiscal stability and prudent long term investment

Consequently the club must maintain and increase its fiscal stability based on the current income streams generation. It is the intention of the club to take every propitious situation to maximise commercial relationships and generate new and increased income streams. Trading Losses other than for carefully considered investment for longer term fiscal reward will be avoided insofar as we are able to control these destructive elements.

Community Involvement

We as a club are part of a large multi cultured city here in Bradford and we play a contributory part therein. It is our intention to develop this community involvement so far as we possibly can for the benefit of all the good citizens of this district and to promote social inclusion, positive community values and healthy lifestyles however and wherever we can.

CORONAVIRUS PANDEMIC

The financial results for the year have been significantly affected by the COVID19 virus and its mutations. Competitive football was suspended from March 2020 and ultimately brought about the abandonment of the 2019/2020 season as part of the wider lockdown of the UK and European economies.

During this period the club took advantage of the Coronavirus Job Retention Scheme from the UK Government to protect as many jobs as possible during a period of little, reduced or no income. Continued restrictions were relevant throughout the whole of the accounting year.

GOING CONCERN

The directors consider the club to be able to continue as a going concern along with the commitment of all relevant parties and conclude that these accounts reflect the going concern basis in the financial statements.

The club has not been immune from the vicissitudes of the pandemic and the financial position reflects this challenge. Without the considerable help of all staff members throughout the organisation the problems would have been very difficult to address.

This report was approved by the board of directors on 25 March 2022 and signed on behalf of the board by:

A K Biggin FCA
Director & Secretary

Bradford City Football Club Limited

Statement of comprehensive income
Year ended 30 June 2021

	Note	2021 £	2020 £
Turnover		4,986,266	7,353,990
Cost of sales		(4,917,841)	(5,166,580)
Gross profit		68,425	2,187,410
Stadium costs		(215,996)	(486,776)
Administrative expenses		(1,066,998)	(1,244,759)
Other operating income		375,447	722,877
Operating (loss)/profit		(839,122)	1,166,752
Interest payable and similar expenses		(6,365)	(5,690)
(Loss)/Profit before taxation	4	(845,487)	1,161,062
Tax on profit/(loss)		-	-
(Loss)/Profit for the financial year		(845,487)	1,161,062

All the activities of the company are from continuing operations.

The notes on pages 10 to 14 form part of these financial statements.

Bradford City Football Club Limited

Statement of financial position
30 June 2021

	Note	2021 £	£	2020 £	£
Fixed assets					
Intangible assets	5	164,967		164,967	
Tangible assets	6	1,285,217		1,334,291	
Investments	7	100		28,431	
			1,450,284		1,527,689
Current assets					
Debtors	8	633,383		1,776,310	
Cash at bank and in hand		1,466,397		127,042	
		2,099,780		1,903,352	
Creditors: amounts falling due within one year	9	(2,663,379)		(1,698,869)	
Net current liabilities			(563,599)		204,483
Total assets less current liabilities			886,685		1,732,172
Creditors: amounts falling due after one year	10	(1,700,000)		(1,700,000)	
			(1,700,000)		(1,700,000)
Net (liabilities)/assets			(813,315)		32,172
Capital and reserves					
Called up share capital			3,000,003		3,000,003
Profit and loss account			(3,813,318)		(2,967,831)
Shareholders (deficit)/funds			(813,315)		32,172

For the year ending 30 June 2021 the company was entitled to exemption from audit under section 477 of the Companies Act 2006 relating to small companies.

Directors responsibilities:

- The members have not required the company to obtain an audit of its financial statements for the year in question in accordance with section 476;
- The directors acknowledge their responsibilities for complying with the requirements of the Act with respect to accounting records and the preparation of financial statements.

The notes on pages 10 to 14 form part of these financial statements.

Statement of financial position (continued)
30 June 2021

These financial statements have been prepared in accordance with the provisions applicable to companies subject to the small companies' regime and in accordance with Section 1A of FRS 102 'The Financial Reporting Standard applicable in the UK and Republic of Ireland'.

These financial statements were approved by the board of directors and authorised for issue on 14 March 2022, and are signed on behalf of the board by:



A K Biggin FCA
Director

Company registration number: 5102915

Bradford City Football Club Limited

Statement of changes in equity
Year ended 30 June 2021

	Called up share capital	Profit and loss account	Total
	£	£	£
At 1 July 2019	3,000,003	(4,128,893)	(1,128,890)
Profit/(loss) for the year		1,161,062	1,161,062
Total comprehensive income for the year	-	1,161,062	1,161,062
At 30 June 2020 and 1 July 2020	3,000,003	(2,967,831)	32,172
(Loss) for the year		(845,487)	(845,487)
Total comprehensive deficit for the year	-	(845,487)	(845,487)
At 30 June 2021	3,000,003	(3,813,318)	(813,315)

1. General information

The company is a private company limited by shares, registered in England and Wales. The address of the registered office is Utilita Energy Stadium, Valley Parade, Bradford, BD8 7DY.

2. Statement of compliance

These financial statements have been prepared in compliance with the provisions of FRS 102, Section 1A, 'The Financial Reporting Standard applicable in the UK and Republic of Ireland'. The Triennial review 2017 amendments to the standard have been early adopted.

3. Accounting policies

Basis of preparation

The financial statements have been prepared on the historical cost basis, as modified by the revaluation of certain financial assets and liabilities measured at fair value through profit or loss.
The financial statements are prepared in sterling, which is the functional currency of the entity.

Turnover

Turnover is measured at the fair value of the consideration received or receivable for goods supplied and services rendered, net of discounts and Value Added Tax.
Revenue from the sale of goods is recognised when the significant risks and rewards of ownership have transferred to the buyer (usually on despatch of the goods); the amount of revenue can be measured reliably; it is probable that the associated economic benefits will flow to the entity; and the costs incurred or to be incurred in respect of the transactions can be measured reliably.

Taxation

The taxation expense when applicable represents the aggregate amount of current and deferred tax recognised in the reporting period. Tax is recognised in the statement of comprehensive income, except to the extent that it relates to items recognised in other comprehensive income or directly in capital and reserves. In this case, tax is recognised in other comprehensive income or directly in capital and reserves, respectively.
Current tax is recognised on taxable profit for the current and past periods. Current tax is measured at the amounts of tax expected to pay or recover using the tax rates and laws that have been enacted or substantively enacted at the reporting date.
Deferred tax is recognised in respect of all timing differences at the reporting date. Unrelieved tax losses and other deferred tax assets are recognised to the extent that it is probable that they will be recovered against the reversal of deferred tax liabilities or other future taxable profits. Deferred tax is measured using the tax rates and laws that have been enacted or substantively enacted by the reporting date that are expected to apply to the reversal of the timing difference.

Operating leases

Lease payments are recognised as an expense over the lease term on a straight-line basis. The aggregate benefit of lease incentives is recognised as a reduction to expense over the lease term, on a straight-line basis.

Goodwill
Goodwill arises on business acquisitions and represents the excess of the cost of the acquisition over the company's interest in the net amount of the identifiable assets, liabilities and contingent liabilities of the acquired business.
Goodwill is measured at cost less accumulated amortisation and accumulated impairment losses. It is usually amortised on a straight line basis over its useful life. Where a reliable estimate of the useful life of goodwill or intangible assets cannot be made, the life is presumed to be written off as appropriate.

Amortisation
Amortisation is calculated so as to write off the cost of an asset, less its estimated residual value, over the useful life of that asset as follows:
If there is an indication that there has been a significant change in amortisation rate, useful life or residual value of an intangible asset, the amortisation is revised prospectively to reflect the new estimates.

Tangible assets
Tangible assets are initially recorded at cost and are subsequently stated at cost less any accumulated depreciation and impairment losses.
Any tangible assets carried at revalued amounts are recorded at the fair value at the date of revaluation less any subsequent accumulated depreciation and subsequent accumulated impairment losses.
An increase in the carrying amount of an asset as a result of a revaluation, is recognised in other comprehensive income and accumulated in capital and reserves, except to the extent it reverses a revaluation decrease of the same asset previously recognised in profit or loss. A decrease in the carrying amount of an asset as a result of revaluation is recognised in other comprehensive income to the extent of any previously recognised revaluation increase accumulated in capital and reserves in respect of that asset. Where a revaluation decrease exceeds the accumulated revaluation gains accumulated in capital and reserves in respect of that asset, the excess shall be recognised in profit or loss.

Depreciation
Depreciation is calculated so as to write off the cost or valuation of an asset, less its residual value, over the useful economic life of that asset as follows:

Long leasehold property	-	Straight line over life of lease or as appropriate
Plant and machinery	-	10% straight line
Fittings fixtures and equipment	-	10% straight line
Motor vehicles	-	15% straight line
Computer equipment	-	10% straight line

If there is an indication that there has been a significant change in depreciation rate, useful life or residual value of tangible assets, the depreciation is revised prospectively to reflect the new estimates.

Fixed asset investments
Fixed asset investments are initially recorded at cost, and subsequently stated at cost less any accumulated impairment losses. Listed investments are measured at fair value with changes in fair value being recognised in profit or loss.

Defined contribution plans

Contributions to defined contribution plans are recognised as an expense in the period in which the related service is provided. Prepaid contributions are recognised as an asset to the extent that the prepayment will lead to a reduction in future payments or a cash refund.

When contributions are not expected to be settled wholly within 12 months of the end of the reporting date in which the employees render the related service, the liability is measured on a discounted present value basis. The unwinding of the discount is recognised in finance costs in profit or loss in the period in which it arises.

4. Profit/loss before taxation

Profit/loss before taxation is stated after charging/(crediting):

	2021	2020
	£	£
Net Depreciation of tangible assets	65,619	66,118

5. Intangible assets

	Goodwill	Total
	£	£
Cost		
At 1 July 2020 and 30 June 2021	164,967	164,967
Amortisation		
At 1 July 2020 and 30 June 2021	-	-
Carrying amount		
At 30 June 2021	164,967	164,967
At 30 June 2020	164,967	164,967

6. Tangible assets

	Long Leasehold Property	Plant and machinery	Fixtures fittings	Motor Vehicles	Computer Equipment	Total
	£	£	£	£	£	£
Cost						
At 1 July 2020	276,215	1,231,000	81,653	43,391	95,834	1,728,093
Additions	-	-	8,515	-	8,273	16,788
At 30 June 2021	276,215	1,231,000	90,168	43,391	104,107	1,744,881
Depreciation						
At 1 July 2020	77,079	180,005	51,992	42,571	42,155	393,802
Charge for the year	27,121	25,150	4,513	820	8,258	65,862
At 30 June 2021	104,200	205,155	56,505	43,391	50,413	459,664
Carrying amount						
At 30 June 2021	172,015	1,025,845	33,663	NIL	53,694	1,285,217
At 30 June 2020	199,136	1,050,995	29,661	820	53,679	1,334,291

7. Investments

	Shares in group undertakings and participating interests	Other investments other than loans	Total
	£	£	£
Cost			
At 1 July 2020 and 30 June 2021	100	28,331	28,431
Impairment			
At 1 July 2020 and 30 June 2021	-	-	-
During the year	-	28,331	28,331
Carrying amount			
At 30 June 2021	100	-	100
At 30 June 2020	100	28,331	28,431

8. Debtors

	2021	2020
	£	£
Trade debtors	344,654	1,233,662
Other debtors	288,729	542,648
	633,383	1,776,310

9. Creditors: amounts falling due within one year

	2021	2020
	£	£
Bank and other loans and overdrafts	172,234	-
Trade creditors	326,733	410,988
Social security and other taxes	415,582	501,001
Other creditors	1,748,830	786,880
	2,663,379	1,698,869

10. Creditors: amounts falling due after more than one year

	2021	2020
	£	£
Other creditors	1,700,000	1,700,000

Bradford City Football Club Limited

Detailed income statement
Year ended 30 June 2021

	2021		2020	
	£	£	£	£
Sales				
Football sales		3,824,246		5,738,731
Shop franchise income		105,875		148,248
Bar sales		45,498		167,442
Commercial sales		448,706		685,580
Youth income		560,087		608,184
Donations Received		1,854		5,801
		4,986,266		7,353,986
Cost of sales				
Football				
Direct costs	1,065,127		1,363,084	
Wages and salaries	2,732,877		2,643,767	
Employer's Social security contributions	212,299		263,869	
Staff pension costs - defined contribution	-		-	
Operating lease payments - motor vehicles	-		10,958	
Repairs to plant and machinery	647		1,960	
		(4,010,950		(4,283,638)
Shop				
Direct costs	-		2,996	
		-		(2,996)
Bar & Catering				
Direct costs	42,647		16,064	
Wages & Salaries	75,144		-	
		(117,791)		(16,064)
Commercial				
Direct costs	159,385		290,629	
Wages and salaries	41,630		4,490	
Employer's Social security contributions	2,161		-	
		(203,176)		(295,119)
Youth				
Direct costs	149,106		171,597	
Wages and salaries	416,335		377,381	
Employer's Social security contributions	20,483		19,785	
		(585,924)		(568,763)
Gross profit	.01%	68,425	30%	2,187,406
Stadium costs	215,996		486,776	
Administrative expenses	1,066,998		1,244,759	
		(1,282,994)		(1,731,535)
		(1,214,569)		455,871

Bradford City Football Club Limited

Detailed income statement
Year ended 30 June 2021

	2021		2020	
	£	£	£	£
Other operating income				
Donations, grants and furlough	393,139		713,273	
Vodafone	4,600		4,600	
Recharges - youth	5,863		5,004	
Lottery costs	(28,155)		(11,996)	
		375,447		710,881
Operating profit/(loss)		(939,122)	16%	1,166,752
Bank interest	6,365		5,690	
		(6,365)		(5,690)
Net (loss)/profit for the year		(845,487)		1,161,062

Bradford City Football Club Limited

Detailed income statement (continued)
Year ended 30 June 2021

	2021 £	2020 £
Overheads		
Distribution costs		
Running costs	(215,966)	(486,776)
	(215,996)	(486,776)
Administrative expenses		
Wages and salaries	(278,619)	(320,216)
Employer's social security contributions	(12,480)	(15,603)
Staff pension costs - defined contribution	(50,753)	(44,567)
Operating lease rentals - land and buildings	(434,489)	(434,489)
Rates	(18,808)	(96,870)
Insurance	(50,071)	(46,850)
Light and heat	(98,277)	(145,300)
Printing, postage and stationery	(3,431)	(8,347)
Telephone	(12,866)	(10,783)
Computer costs	(31,517)	(14,611)
Motor and travelling expenses	(2,115)	(9,276)
Legal and professional	(9,123)	(1,004)
Accountancy fees	(2,500)	(2,500)
Bank charges	(1,979)	(2,893)
Discounts allowed	-	(1,671)
General expenses	(5,257)	(22,677)
Subscriptions	(6,259)	(984)
Depreciation of tangible assets	(65,862)	(66,118)
Bad Debts recovered	17,408	-
	(1,066,998)	(1,244,759)